

Vendor Management & Contract Review

Department:	Operations / Procurement	Document Owner:	Procurement Manager
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1. Purpose

Establish a consistent process for onboarding, managing, and offboarding vendors to ensure compliance, quality, and commercial value.

2. Scope

All vendors providing goods or services with an annual contract value over \$10,000.

3. Procedure

Step 1: Vendor Identification & Need Assessment

Business unit identifies need for external vendor. Complete Vendor Need Assessment form with: business justification, estimated spend, desired service level, and alternatives considered. Submit to Procurement for review.

Step 2: Vendor Due Diligence

Procurement conducts due diligence: financial stability check, reference checks (minimum 3), cybersecurity assessment for IT vendors, and sanctions screening. Results documented in Vendor File.

Step 3: RFP / Quote Process

For contracts over \$25,000, issue RFP to minimum 3 vendors. Evaluate proposals using standardized scoring matrix (price 40%, quality 30%, references 20%, risk 10%). Procurement facilitates evaluation; business unit provides input.

Step 4: Contract Negotiation & Legal Review

Procurement and Legal negotiate contract terms. Minimum requirements: liability cap, indemnification, data protection addendum for vendors handling personal data, and termination for convenience clause. Legal approves all contracts before execution.

Step 5: Vendor Onboarding

Collect W-9, insurance certificates, and banking information. Add vendor to ERP system with approved payment terms. Brief vendor on code of conduct and security requirements. Assign internal vendor manager.

Step 6: Ongoing Performance Management

Quarterly business reviews for strategic vendors (spend >\$100K/year). Annual review for all active vendors. Track KPIs: on-time delivery, quality, and responsiveness. Document issues in vendor file.

Step 7: Vendor Offboarding

Issue termination notice per contract terms. Ensure all deliverables received and invoices settled. Retrieve company property or data. Update vendor status in ERP to 'Inactive'.

4. References & Related Documents

- Procurement Policy FIN-PROC-001
- Data Protection Standard SEC-003
- Vendor Code of Conduct

5. Revision History

Version	Date	Description of Change
1.9	2024-01-01	Added data protection addendum requirement
1.8	2023-06-01	Updated RFP threshold
1.5	2022-01-01	Initial release